UMEME LIMITED
INTERIM CONDENSED FINANCIAL STATEMENTS
(UNAUDITED)

FOR THE SIX-MONTH PERIOD ENDED
30 JUNE 2022

TABLE OF CONTENTS **Page**

List of abbreviations i

Statement of directors' responsibilities 1

Report on review of interim condensed financial statements 2

Interim condensed financial statements:

- Interim condensed statement of profit or loss 3
- Interim condensed statement of comprehensive income 4
- Interim condensed statement of financial position 5
- Interim condensed statement of changes in equity 6
- Interim condensed statement of cash flows 7
- Notes to the interim condensed financial statements 8 – 38

Supplementary information to the interim condensed financial statements 39 – 43

Abbreviation	In full
ADB	African Development Bank
CWIP	Capital Work-in-Progress
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortisation
ECL	Expected Credit Losses
ECP	Electricity Connection Policy
EPS	Earnings Per Share
ERA	Electricity Regulatory Authority
DFCU	DFCU Bank Limited
DFI	Development Finance Institutions
GOU	Government of Uganda
GOU-TOU	Government of Uganda Time of Use
IAS	International Accounting Standard
ITA	Income Tax Act
IFRIC	International Financial Reporting Interpretations Committee
IFRS	International Financial Reporting Standard
IVA	Independent Verification Agency
LAA	Lease and Assignment Agreement
No.	Number
NRCC	Non-Refundable Capital Contributions
NSE	Nairobi Securities Exchange
OBA	Output Based Aid
REP	Rural Electrification Program
SCB	Standard Chartered Bank
SIC	Standards Interpretations Committee
UEDCL	Uganda Electricity Distribution Company Limited
UETCL	Uganda Electricity Transmission Company Limited
URA	Uganda Revenue Authority
USD	United States Dollars
USE	Uganda Securities Exchange
Ushs	Uganda Shillings
WACC	Weighted Average Cost of Capital

UMEME LIMITED
STATEMENT OF DIRECTORS' RESPONSIBILITIES
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2022

The Uganda Securities Exchange Rules, 2003 require the directors to prepare interim financial reports for the first six months of a financial year, which show the state of the financial affairs of Umeme Limited (the "Company") as at the end of the six-month period and of its operating results for that period.

The directors are ultimately responsible for the internal control of the Company. The directors delegate responsibility for internal control to management. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the Company's assets. Appropriate accounting policies supported by reasonable and prudent judgements and estimates are applied on a consistent basis and using the going concern basis. These systems and controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties.

The directors accept responsibility for the interim condensed financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IAS 34 *Interim Financial Reporting*. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of interim condensed financial statements, as well as maintenance of adequate systems of internal financial control.

The directors have assessed the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. In addition, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern for the next twelve months from the date of this statement.

The interim condensed financial statements were approved by the Board of Directors on ...19 August... 2022 and signed on its behalf by:

.... Director

.... Director

EY
Building a better working world

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REPORT ON REVIEW OF INTERIM CONDENSED FINANCIAL STATEMENTS TO THE DIRECTORS OF UMEME LIMITED

INTRODUCTION

We have reviewed the accompanying interim condensed statement of financial position of Umeme Limited (the "Company") as at 30 June 2022, and the related interim condensed statements of profit or loss, comprehensive income, changes in equity and cash flows for the six-month period then ended, and notes to the interim condensed financial statements, which include a summary of significant accounting policies and other explanatory notes as set out on pages 3 to 38. The directors are responsible for the preparation and presentation of this interim condensed financial information in accordance with International Accounting Standard (IAS) 34 *Interim Financial Reporting*. Our responsibility is to express a conclusion on this interim condensed financial information based on our review.

SCOPE OF REVIEW

We conducted our review in accordance with International Standard on Review Engagements 2410, *"Review of Interim Financial Information Performed by the Independent Auditor of the Entity"*. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

CONCLUSION

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed financial information is not prepared, in all material respects, in accordance with International Accounting Standard (IAS) 34, *Interim Financial Reporting*.

Ernst & Young
....
Ernst & Young
Certified Public Accountants
Kampala, Uganda

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UMEME LIMITED
INTERIM CONDENSED STATEMENT OF PROFIT OR LOSS
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2022

	Note	Unaudited 6 months ended 30 June 2022 Ushs million	Unaudited 6 months ended 30 June 2021 Ushs million
Revenue from contracts with customers	3	896,999	927,862
Cost of sales	4	(618,571)	(629,304)
GROSS PROFIT		**278,428**	**298,558**
Repair and maintenance expenses		(16,343)	(29,226)
Administration expenses	5	(98,766)	(93,905)
Foreign exchange gain/(losses)		15,612	(13,295)
Increase in expected credit losses		(475)	(1,684)
OPERATING PROFIT BEFORE AMORTISATION, IMPAIRMENT, INTEREST AND TAX		**178,456**	**160,448**
Amortisation and write-off of intangible assets	10	(78,518)	(78,071)
OPERATING PROFIT		**99,938**	**82,377**
Finance income	6	10,467	9,829
Finance costs	7	(17,626)	(22,605)
PROFIT BEFORE TAX		**92,779**	**69,601**
Income tax charge	8	(28,403)	(21,358)
PROFIT FOR THE PERIOD		**64,376**	**48,243**
		Ushs	**Ushs**
BASIC AND DILUTED EARNINGS PER SHARE	**9**	**39.6**	**29.7**

The notes on pages 8 to 38 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2022

	Unaudited 6 months ended 30 June 2022 Ushs million	Unaudited 6 months ended 30 June 2021 Ushs million
Profit for the period	**64,376**	**48,243**
Other comprehensive income that may be reclassified to profit or loss in subsequent periods (net of tax):		
Exchange differences on translation from functional currency	71,755	(25,813)
Total comprehensive income for the period, net of tax	**136,131**	**22,430**

The notes on pages 8 to 38 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2022

	Note	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
ASSETS			
Non-current assets			
Intangible assets	10	613,283	640,858
Other financial asset: Buy out amount	11	1,206,479	1,088,155
Concession financial asset	12	343,392	322,734
		2,163,154	**2,051,747**
Current assets			
Inventories		98,357	100,303
Current income tax recoverable	8	-	13,942
Contract assets	13	48,444	38,556
Trade and other receivables	14	242,142	238,421
Prepayments		19,680	14,091
Bank balances	15	73,078	50,236
		481,701	**455,549**
TOTAL ASSETS		**2,644,855**	**2,507,296**
EQUITY AND LIABILITIES			
Equity			
Issued capital		27,748	27,748
Share premium		70,292	70,292
Retained earnings		617,872	641,310
Translation reserve		225,559	153,804
		941,471	**893,154**
Non-current liabilities			
Borrowings: non-current portion	16	59,634	165,831
Concession financial obligation	17	343,392	322,734
Deferred tax liability	8	238,447	236,925
		641,473	**725,490**
Current liabilities			
Borrowings: current portion	16	208,444	170,774
Customer security deposits		11	7
Contract liabilities	18	83,434	56,651
Accrued expenses		14,836	22,645
Provisions		892	841
Trade and other payables	19	662,903	542,620
Current income tax payable	8	2,939	-
Bank overdrafts	20	88,452	95,114
		1,061,911	**888,652**
TOTAL EQUITY AND LIABILITIES		**2,644,855**	**2,507,296**

The interim condensed financial statements were approved by the Board of Directors on 19 August 2022 and signed on its behalf by:

Director **Director**

The notes on pages 8 to 38 are an integral part of the interim condensed financial statements.

	Issued capital Ushs million	**Share premium Ushs million**	**Retained earnings Ushs million**	**Translation reserve Ushs million**	**Total equity Ushs million**
At 1 January 2021	27,748	70,292	521,980	183,186	803,206
Profit for the period	-	-	48,243	-	48,243
Other comprehensive income, net of tax	-	-	-	(25,813)	(25,813)
Total other comprehensive income, net of tax	-	-	48,243	(25,813)	22,430
Dividend declared	-	-	(19,811)	-	(19,811)
At 30 June 2021 – unaudited	**27,748**	**70,292**	**550,412**	**157,373**	**805,825**
At 1 January 2022	27,748	70,292	641,310	153,804	893,154
Profit for the period	-	-	64,376	-	64,376
Other comprehensive loss, net of tax	-	-	-	71,755	71,755
Total other comprehensive income, net of tax	-	-	64,376	71,755	136,131
Dividend declared	-	-	(87,814)	-	(87,814)
At 30 June 2022 – unaudited	**27,748**	**70,292**	**617,872**	**225,559**	**941,471**

The translation reserve comprises the translation differences arising from the translation of the financial statements from the Company's functional currency to the presentation currency.

The notes on pages 8 to 38 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF CASH FLOWS
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2022

		6 months ended	
		30 June 2022	**30 June 2021**
		Unaudited	
	Note	**Ushs million**	**Ushs million**
Profit before tax		92,779	69,601
Adjustment for non-cash items:			
Interest on bank deposits	6	(216)	(94)
Finance income on other financial asset	6	(9,201)	(8,334)
Finance income on concession financial asset	6	(1,050)	(1,401)
Finance cost on concession obligation	7	1,050	1,401
Other financing costs	7	5,594	4,025
Amortisation of intangible assets	10	78,425	71,686
Write off and disposal of intangible assets	10	93	6,385
Expected credit losses on trade and other receivables		475	1,684
Interest expense on long and short term borrowings		9,313	13,844
Amortisation of deferred transaction costs		1,698	3,236
Cash flows before working capital changes		**178,960**	**162,033**
Changes in working capital items:			
Decrease in inventories		1,946	10,776
(Increase)/decrease in contract assets		(9,888)	53,586
(Increase)/decrease in trade and other receivables		(4,196)	2,042
(Increase)/decrease in prepayments		(5,589)	17,532
Increase/(decrease) in contract liabilities		26,783	(40,098)
Decrease in accrued expenses		(7,809)	(6,385)
Increase/(decrease) in trade and other payables		32,469	(28,470)
Cash generated from operating activities		**212,676**	**171,016**
Interest received from banks		216	94
Long and short-term borrowings interest paid		(9,727)	(13,578)
Other financing costs paid		(5,594)	(4,025)
Borrowing transaction costs paid		(132)	-
Current income tax paid		(10,000)	
Net cash flows from operating activities		**187,439**	**153,507**
Investing activities			
Purchase of intangible assets		(55,903)	(49,639)
Net cash flows used in investing activities		**(55,903)**	**(49,639)**
Financing activities			
Repayment of principal on long-term borrowing facilities		(90,384)	(85,647)
Net cash flows used in financing activities		**(90,384)**	**(85,647)**
Net increase in cash and cash equivalents		**41,152**	**18,221**
Cash and cash equivalents at 1 January		(44,885)	(52,489)
Translation differences		(11,652)	5,679
Cash and cash equivalents at 30 June	**22**	**(15,385)**	**(28,589)**

The notes on pages 8 to 38 comprise an integral part of the interim condensed financial statements.

1. COMPANY INFORMATION AND GOING CONCERN

1.1 Company information

Umeme Limited (the ''Company'') is a public limited liability company incorporated in Uganda under the Companies Act, 2012 of Uganda, and licensed by Electricity Regulatory Authority (ERA) under License No. 047 and No. 48 to carry on business of electricity distribution and supply under the provisions of the Electricity Act 1999, (Cap 145). The Company's business operations are generally evenly distributed over the period.

The Company's shares are publicly traded on the Uganda Securities Exchange (USE) and cross-listed on the Nairobi Securities Exchange (NSE).

The interim condensed financial statements of the Company for the six-months ended 30 June 2022 were authorised for issue in accordance with a resolution of the directors on 19 August 2022.

1.2 Going concern

The Company's directors have assessed the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the interim condensed financial statements have been prepared on the going concern basis.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

a) Basis of preparation

The interim condensed financial statements for the six months ended 30 June 2022 have been prepared in accordance with IAS 34 *Interim Financial Reporting*. The interim condensed financial statements do not include all the information and disclosures required in audited annual financial statements and should be read in conjunction with the Company's audited annual financial statements for the year ended 31 December 2021. The explanatory notes disclose the events and transactions that update the relevant information presented in the 2021 audited annual financial statements including:

- The nature and amount of items affecting the Company's financial position, performance and cash flows that are unusual because of their nature, size or incidence.
- The nature and amount of changes in accounting policies and methods and estimates used in the preparation of the financial statements, and status of long-term contracts.
- Events subsequent to the end of the most recent annual reporting period, 31 December 2021, that have a material effect on the interim condensed financial statements.
- Issues and repayments of debt and equity securities.
- Dividends paid for ordinary shares**.**

Balances disclosed relating to the year ended 31 December 2021 are audited while balances relating to 30 June 2022 and 30 June 2021 are unaudited.

Functional currency

The Company's functional currency is United States Dollars (USD), which is the currency of the primary economic environment in which the Company operates.

Presentation currency

The Company's financial statements are presented in Uganda Shillings (Ushs) to meet the expectations of most of the primary users of the financial statements since Ushs is the currency of the country in which the Company operates.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

b) Use of judgements and estimates

In preparing these interim condensed financial statements, management has made judgements and estimates that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates. The significant judgements made by management in applying the Company's accounting policies and the key sources of estimation uncertainty were the same as those described in the latest audited annual financial statements.

Refer to Note 31 for disclosures on judgements relating to the Covid-19 pandemic.

c) Fair value measurement

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximizing the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the interim condensed financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest-level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 — Valuation techniques for which the lowest-level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 — Valuation techniques for which the lowest-level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

d) Segment information

The Company is organised into one single business unit for management purposes. Management monitors the operating results of the business as a single unit for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which is measured the same as the operating profit or loss in the financial statements. There were no changes to this during the period.

All the Company's revenue is generated from external customers domiciled in Uganda and no single external customer contributes revenue amounting up to 10% of the Company's revenue. All the Company's assets are located in Uganda.

e) Application of New and Revised International Financial Reporting Standards (IFRS's)

i. New and amended standards and interpretations effective during the year

The accounting policies adopted in the preparation of the interim condensed financial statements are consistent with those applied in the preparation of the Company's latest audited annual financial statements for the year ended 31 December 2021, except for the adoption of new standards effective as of 1 January 2022. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Several amendments apply for the first time in 2022, but do not have an impact on the interim condensed financial statements of the Company.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

e) Application of New and Revised International Financial Reporting Standards (IFRS's)

i. New and amended standards and interpretations (Continued)

Reference to the Conceptual Framework - Amendments to IFRS 3

In May 2020, the IASB issued Amendments to IFRS 3 Business Combinations - Reference to the Conceptual Framework. The amendments are intended to replace a reference to a previous version of the IASB's Conceptual Framework (the 1989 Framework) with a reference to the current version issued in March 2018 (the Conceptual Framework) without significantly changing its requirements. The amendments add an exception to the recognition principle of IFRS 3 to avoid the issue of potential 'day 2' gains or losses arising for liabilities and contingent liabilities that would be within the scope of IAS 37 Provisions, Contingent Liabilities and Contingent Assets or IFRIC 21 Levies, if incurred separately. The exception requires entities to apply the criteria in IAS 37 or IFRIC 21, respectively, instead of the Conceptual Framework, to determine whether a present obligation exists at the acquisition date. At the same time, the amendments add a new paragraph to IFRS 3 to clarify that contingent assets do not qualify for recognition at the acquisition date.

Transition
The amendments must be applied prospectively. Earlier application is permitted if, at the same time or earlier, an entity also applies all of the amendments contained in the Amendments to References to the Conceptual Framework in IFRS Standards (March 2018).

Impact
The amendments are intended to update a reference to the Conceptual Framework without significantly changing requirements of IFRS 3. The amendments will promote consistency in financial reporting and avoid potential confusion from having more than one version of the Conceptual Framework in use.

This amendment had no impact on the interim condensed consolidated financial statements of the Company.

Property, Plant and Equipment: Proceeds before Intended Use – Amendments to IAS 16

The amendment prohibits entities from deducting from the cost of an item of property, plant and equipment (PP&E), any proceeds of the sale of items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognises the proceeds from selling such items, and the costs of producing those items, in profit or loss.

Transition
The amendment must be applied retrospectively only to items of PP&E made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment. There is no transition relief for first-time adopters.

This amendment had no impact on the interim condensed consolidated financial statements of the Company.

Onerous Contracts – Costs of Fulfilling a Contract - Amendments to IAS 37

In May 2020, the IASB issued amendments to IAS 37 to specify which costs an entity needs to include when assessing whether a contract is onerous or loss-making. The amendments apply a 'directly related cost approach'. The costs that relate directly to a contract to provide goods or services include both incremental costs (e.g., the costs of direct labour and materials) and an allocation of costs directly related to contract activities (e.g., depreciation of equipment used to fulfil the contract as well as costs of contract management and supervision). General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

e) Application of New and Revised International Financial Reporting Standards (IFRS's)

i. New and amended standards and interpretations (Continued)

Onerous Contracts – Costs of Fulfilling a Contract - Amendments to IAS 37 (Continued)

Transition
The amendments must be applied prospectively to contracts for which an entity has not yet fulfilled all of its obligations at the beginning of the annual reporting period in which it first applies the amendments (the date of initial application). Earlier application is permitted and must be disclosed.

Impact
The amendments are intended to provide clarity and help ensure consistent application of the standard. Entities that previously applied the incremental cost approach will see provisions increase to reflect the inclusion of costs related directly to contract activities, whilst entities that previously recognised contract loss provisions using the guidance from the former standard, IAS 11 Construction Contracts, will be required to exclude the allocation of indirect overheads from their provisions. Judgement will be required in determining which costs are 'directly related to contract activities', but we believe that guidance in IFRS 15 Revenue from Contracts with Customers will be relevant.

This amendment had no impact on the interim condensed consolidated financial statements of the Company.

Sale or Contribution of Assets between an Investor and its Associate or Joint Venture – Amendments to IFRS 10 and IAS 28

The amendments address the conflict between IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognised when a transfer to an associate or joint venture involves a business as defined in IFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognised only to the extent of unrelated investors' interests in the associate or joint venture.

Transition
The amendments must be applied prospectively. Early application is permitted and must be disclosed.

Impact
The amendments are intended to eliminate diversity in practice and give preparers a consistent set of principles to apply for such transactions. However, the application of the definition of a business is judgmental and entities need to consider the definition carefully in such transactions.

This amendment had no impact on the interim condensed consolidated financial statements of the Company.

IFRS 1 First-time Adoption of International Financial Reporting Standards - Subsidiary as a first-time adopter

The amendment permits a subsidiary that elects to apply paragraph D16(a) of IFRS 1 to measure cumulative translation differences using the amounts reported in the parent's consolidated financial statements, based on the parent's date of transition to IFRS, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. This amendment is also applied to an associate or joint venture that elects to apply paragraph D16(a) of IFRS 1.

Transition
An entity applies the amendment for annual reporting periods beginning on or after 1 January 2022. Earlier application is permitted.

This amendment had no impact on the interim condensed consolidated financial statements of the Company.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

e) Application of New and Revised International Financial Reporting Standards (IFRS's)

i. New and amended standards and interpretations (Continued)

IFRS 9 Financial Instruments - Fees in the '10 per cent' test for derecognition of financial liabilities

The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received between the borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf. There is no similar amendment proposed for IAS 39.

Transition
An entity applies the amendment to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment. An entity applies the amendment for annual reporting periods beginning on or after 1 January 2022. Earlier application is permitted.

This amendment had no impact on the interim condensed consolidated financial statements of the Company.

IAS 41 Agriculture - Taxation in fair value measurements

The amendment removes the requirement in paragraph 22 of IAS 41 that entities exclude cash flows for taxation when measuring the fair value of assets within the scope of IAS 41.

Transition
An entity applies the amendment to fair value measurements on or after the beginning of the first annual reporting period beginning on or after 1 January 2022. Earlier application is permitted.

This amendment had no impact on the interim condensed consolidated financial statements of the Company.

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the company's financial statements are not expected to have an impact on the company's financial statements. These standards and interpretations are listed below:

- Definition of Accounting Estimates - Amendments to IAS 8 – effective 1 January 2023
- Disclosure of Accounting Policies - Amendments to IAS 1 and IFRS Practice Statement 2 - effective 1 January 2023
- Amendments to IAS 1: Classification of Liabilities as Current or Non-current - effective 1 January 2023
- IFRS 17 Insurance Contracts - effective 1 January 2023
- Sale or Contribution of Assets between an Investor and its Associate or Joint Venture - Amendments to IFRS 10 and IAS 28 - postponed indefinitely.
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction – Amendments to IAS 12 - effective 1 Jan 2023

3. REVENUE FROM CONTRACTS WITH CUSTOMERS

The Company's revenue streams are consistent with those described in the latest audited annual financial statements. Revenue is derived from contracts with customers. The Company's primary geographical market is Uganda.

The Company recognises revenue from sale of electricity and from provision of construction services over time, using an input method to measure progress towards complete satisfaction of the service, because the customer simultaneously receives and consumes the benefits provided by the Company. Revenue from sale of goods is recognized at the point in time when control of the goods is transferred to the customer, generally on delivery of the goods. Revenue from sale of electricity is recognised based on the end user tariffs set by ERA.

Changes in prices charged to customers arise through changing tariffs over the contract term through the quarterly price changes made by ERA, and pricing by time of day, that is, peak, shoulder and off-peak. The pricing by time of day reflects the value of electricity that the customer consumes during the different time segments during the day. In line with the IFRS 15 practical expedients, the Company has assessed that the tariff adjustments are not variable considerations but rather a reflection of the value of providing electricity units during the tariff period. Moreover, the changes in tariffs are accounted for in the same reporting period.

Capital contributions received from the customers by Umeme from which construction revenue is derived represent advance payments by customers for construction services.

The Company's revenue is disaggregated by tariff code of billing and nature as follows:

		Unaudited 6 months ended	Unaudited
Amounts billed by customer category	**Notes**	**30 June 2022 Ushs million**	**30 June 2021 Ushs million**
Domestic		263,091	244,935
Commercial		121,954	118,507
Medium industrial		139,727	150,615
Street lighting		363	341
Large industrial		194,666	177,911
Extra large		156,648	156,910
Total amount billed to customers		**876,449**	**849,219**
Add: Recognition of deferred income	(a)	-	54,445
Less: Amounts collected from customers which are not revenue for the period:			
Recovery of amounts for funding non-network assets	(b)	(3,471)	-
		872,978	**903,664**
Other revenue streams:			
Construction revenue - Construction of assets	(c)	18,532	21,429
		18,532	**21,429**
Other regulated income:			
Reconnection fees		68	87
Inspection fees		2,140	2,036
		2,208	**2,123**
Non-regulated income:			
Other incomes		3,281	646
		3,281	**646**
Total revenue from contracts with customers		**896,999**	**927,862**

3. REVENUE FROM CONTRACTS WITH CUSTOMERS (Continued)

(a) There were no amounts (2021: Ushs 54,445 million) previously deferred, relating to growth factor amounts that were recognised during the period. 2021 balances were recognised in accordance with Modification Number Five to Umeme's Electricity Supply License No.048.

(b) In accordance with Amendment Number 4 of the Company's Electricity Supply License, ERA approved Ushs 3,471 million (2021: Nil) to be collected from customers through the retail tariffs for purchase of non-network assets. Non-network assets are those assets which do not directly improve or expand the Distribution Network but are necessary for operation of the Distribution Network. This amount is excluded from the amounts billed to customers to arrive at the reported revenue in line with the funding mechanism.

(c) The Company provides construction services relating to the upgrading and expansion of the Distribution Network in accordance with the concession agreements. The expenses that are incurred on the assets additions funded by direct cash contributions paid by customers are recognised in profit or loss as construction cost of sales and the amounts paid by the customers for the construction services (''non-refundable capital contributions'' or ''NRCC'') are recognised as construction revenue when utilized. The costs incurred on the upgrading and expansion additions funded by the Company are offset from the related construction revenue as this reflects the substance and legal form of the transactions.

4. COST OF SALES

	Unaudited 6 months ended 30 June 2022 Ushs million	Unaudited 6 months ended 30 June 2021 Ushs million
Electricity purchase from UETCL	597,370	603,687
Generation levy	2,640	2,544
Construction costs: construction of assets [Note 3(c)]	18,561	21,429
Construction costs: ECP	-	1,644
	618,571	**629,304**

5. ADMINISTRATIVE EXPENSES

	30 June 2022 Ushs million	30 June 2021 Ushs million
Staff and network contractor management costs[1]	58,501	53,367
Transport costs	10,921	9,168
Software support agreements	5,119	7,738
Publicity, advertisement and SMS communication	1,183	1,880
ERA licensing fees	2,863	2,788
Operating concession charges - UEDCL	3,622	3,630
Rental expenses	1,399	2,138
Directors' expenses and allowances	1,550	1,379
Other administration costs[2]	5,482	5,738
Consultancy fees	1,910	573
Telephone expenses	3,644	3,379
Debt collection expenses	914	577
Insurance charges	1,658	1,550
	98,766	**93,905**

[1]Staff and network contractor management costs

	30 June 2022 Ushs million	30 June 2021 Ushs million
Salaries and wages	35,173	32,975
National Social Security Fund (NSSF) contributions	4,896	3,590
Other employment related costs	18,432	16,802
	58,501	**53,367**

The other employment related costs include the following amounts:

	30 June 2022 Ushs million	30 June 2021 Ushs million
Employee performance bonus	3,396	3,230
Contractor management fees*	6,331	5,880
Staff medical expenses	1,853	1,238
Travel expenses	1,478	1,506
Retirement benefit scheme	1,345	1,310
	14,403	**13,164**

*Contractor management fees mainly relate to fees paid to contractors that are involved in the repair and maintenance of the distribution network.

[2]The 2022 amount includes Covid related costs of Ushs 26 million (2021: Ushs 166 million).

	Unaudited	Unaudited
	6 months ended	
	30 June 2022 Ushs million	30 June 2021 Ushs million

6. FINANCE INCOME

Interest on bank deposits	216	94
Finance income on concession financial asset	1,050	1,401
Interest income on other financial asset: Buy out amount	9,201	8,334
	10,467	**9,829**

7. FINANCE COSTS

Finance costs relating to debt facilities		
Interest expense on Facility A	2,320	3,452
Interest expense on Facility B	2,475	3,677
Interest expense on Facility C	2,453	3,644
Interest expense on Facility D	2,065	3,071
Amortisation of borrowings transaction costs[1]	1,698	3,310
Other financing costs	5,594	4,025
	16,605	**21,179**
Finance costs relating to other financial liabilities		
Accrued interest on customer security deposits	(29)	25
Finance charge on concession obligation	1,050	1,401
	1,021	**1,426**
Total finance costs	**17,626**	**22,605**

The other financing costs comprise of the following:

Interest expense on overdraft facilities	3,608	4,025
Other financing related costs	1,986	-
	5,594	**4,025**

Refer to Notes 16, 17 and 20 for further disclosures on finance costs.

[1]This relates to deferred costs on the borrowings in Note 16 of Ushs 1,698 million (year ended 31 December 2021: Ushs 4,466 million) and overdraft facilities in Note 20 (year ended 31 December 2021: Ushs 138 million).

8. INCOME TAX

a) Income tax expense

Current income tax charge		
Current income tax charge for the period	24,877	9,208
Current income tax charge - prior periods	2,004	-
	26,881	**9,208**
Deferred tax charge		
Deferred tax charge for the period	3,498	12,178
Deferred tax charge - prior periods	(1,976)	(28)
	1,522	**12,150**
Total income tax charge for the period	**28,403**	**21,358**

8. INCOME TAX (Continued)

The reconciliation between the income tax expense and the product of accounting profit and the tax rate is as follows:

	Unaudited 6 months ended 30 June 2022 Ushs million	Unaudited 6 months ended 30 June 2021 Ushs million
Profit before tax	92,779	69,601
Tax at the statutory tax rate of 30%	27,834	20,880
Expenses not allowed for tax purposes	541	506
Current tax prior period adjustment	2,004	-
Deferred tax prior period adjustment	(1,976)	(28)
Income tax charge	**28,403**	**21,358**

The movement in the current income tax recoverable was as follows:

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
b) Current income tax recoverable		
At 1 January	(13,942)	(41,137)
Charge for the period/year	26,881	33,224
Paid during the period/year	(10,000)	(6,029)
Closing balance	**2,939**	**(13,942)**

c) Deferred tax liability

	Closing balance Ushs million	Charge/(credit) to profit or loss: Current year Ushs million	Charge/(credit) to profit or loss: Prior year Ushs million	Opening balance Ushs million
At 30 June 2022				
Accelerated depreciation of assets	253,101	(745)	(36)	253,882
Provision for expected credit losses	(11,164)	(338)	-	(10,826)
Other provisions	(2,213)	2,877	(1,503)	(3,587)
Unrealised foreign exchange losses	(1,277)	1,704	(437)	(2,544)
Current income tax losses	-	-	-	-
	238,447	**3,498**	**(1,976)**	**236,925**

	Closing balance Ushs million	Charge/(credit) to profit or loss: Profit or loss Ushs million	Charge/(credit) to profit or loss: Prior year Ushs million	Opening balance Ushs million
At 31 December 2021				
Accelerated depreciation of assets	253,882	12,583	96	241,203
Provision for expected credit losses	(10,826)	2,763	394	(13,983)
Other provisions	(3,587)	5,010	(4,886)	(3,711)
Unrealised foreign exchange losses	(2,544)	1,077	(1)	(3,620)
Current income tax losses	-	4,576	-	(4,576)
	236,925	**26,009**	**(4,397)**	**215,313**

9. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit attributable to shareholders by the basic and diluted weighted average number of ordinary shares in issue during the period respectively.

	Unaudited 6 months ended 30 June 2022	Unaudited 6 months ended 30 June 2021
Profit attributable to shareholders (Ushs million)	64,376	48,243
Opening basic weighted average number of ordinary shares (million)	1,624	1,624
Diluting shares	-	-
Basic and diluted weighted average number of ordinary shares (million)	1,624	1,624
Basic and diluted earnings per share (Ushs)	**39.6**	**29.7**

10. INTANGIBLE ASSETS

	GOU support & assurances rights Ushs million	Other concession rights Ushs million	Total Ushs million
Cost			
At 1 January 2021	**3,556**	**1,540,233**	**1,543,789**
Additions		122,502	122,502
Disposals and write offs	-	(11,548)	(11,548)
Transfer to buy out amount (Note 11)	-	(84,054)	(84,054)
Translation differences	(99)	(42,992)	(43,091)
At 31 December 2021	**3,457**	**1,524,141**	**1,527,598**
Additions	-	55,903	55,903
Disposals and write offs	-	(662)	(662)
Transfer to buy out amount (Note 11)	-	(40,849)	(40,849)
Translation differences	210	93,038	93,248
At 30 June 2022	**3,667**	**1,631,571**	**1,635,238**
Amortisation			
At 1 January 2021	**(2,544)**	**(753,580)**	**(756,124)**
Charge for the year	(123)	(158,474)	(158,597)
Disposals and write offs	-	5,170	5,170
Translation differences	**58**	22,753	22,811
At 31 December 2021	**(2,609)**	**(884,131)**	**(886,740)**
Charge for the period	(62)	(78,363)	(78,425)
Disposals and write offs	-	569	569
Translation differences	(167)	(57,192)	(57,359)
At 30 June 2022	**(2,838)**	**(1,019,117)**	**(1,021,955)**
Net carrying amount			
At 30 June 2022	**829**	**612,454**	**613,283**
At 31 December 2021	**848**	**640,010**	**640,858**

GOU support and assurances rights

The Distribution Support Agreement of the Lease and Assignment Agreement between Government of Uganda (GOU) and the Company required Umeme to pay a transaction fee of USD 1.4 million to the GOU Privatisation Unit as consideration for the rights and assurances granted by GOU to Umeme. These rights and assurances are specified in Article IV of the Distribution Support Agreement and include, among others, support for obligations, security protection, obtaining of agency loans, expeditious clearance of imported equipment and notice and opportunity to be heard. The transaction fees were capitalised and are being amortised over the concession period of 20 years.

10. INTANGIBLE ASSETS (Continued)

Other concession rights

The concession agreements do not convey to the Company the right to control the use of the investments in the distribution network but rather the right to operate and use the assets and charge customers. Accordingly, in line with IFRIC 12, the assets added to the distribution network are not recognised as property, plant and equipment. An intangible asset equal to the carrying value of the assets added to the distribution network by the Company, less the residual amount (buy out amount) is recognised and is amortised over the useful lives of the underlying property, plant and equipment.

Capitalised borrowing costs

Funding used to construct qualifying assets is financed out of borrowings. The capitalisation rate applied is the weighted average of the borrowing costs applicable to qualifying capital expenditure. The weighted average capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation was 0% (2021: 0%) and the amount of borrowing costs capitalised during the period was Nil (2021: Nil).

Amortisation and write-off charged to profit or loss

	Unaudited	Unaudited
	6 months ended	
	30 June 2022 Ushs million	30 June 2021 Ushs million
Amortisation charge	78,425	71,686
Writ- off of intangible assets	93	6,385
	78,518	**78,071**

11. OTHER FINANCIAL ASSET: BUY OUT AMOUNT

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	1,088,155	1,016,856
Transfer from intangible asset (Note 10)	40,849	84,054
Finance income accrued	9,201	16,639
Translation differences	68,630	(29,038)
At the end of period/year	**1,206,835**	**1,088,511**
Expected credit losses	**(356)**	(356)
	1,206,479	**1,088,155**

The buyout amount is computed as the gross accumulated capital investments less the cumulative capital recovery charges expected to be allowed in the tariffs by the time of transferring the Distribution Network to UEDCL and discounted over the remaining concession period using the pre-tax return on investment of 28.6% (2021: 28.6%), for investments verified and approved by ERA, and 5.14% (2021: 5.14%) for investments not approved by ERA for recovery through the tariff methodology. Annual capital recovery charges are computed as the product of the gross total accumulated investments and weighted average depreciation rate.

The buyout amount is contractually denominated in USD. The present value, excluding the impact amortisation, of transfers from intangible assets expected to be recovered as part of the buyout amount at 30 June 2022 amounted to USD 320 million. The USD balances have been translated to Uganda shillings at the reporting date spot exchange rate of Ushs 3,764.41 (2021: Ushs 3,549.3).

As at 30 June 2022, the estimated weighted average depreciation rate was 10.23% (2021: 10.23%) and it is hence estimated that capital investments amounting to Ushs 1,206,479 million (USD 320 million) [2021: Ushs 1,088,155 million (USD 307 million)] as of that date will not have been recovered through the tariff at the end of the concession.

The buyout amount shall be paid in cash with a 5% return and hence the amounts receivable are accounted for as a financial asset.

The Company's rights, title and interest under the buyout amount are pledged as collateral for the term borrowing facilities as disclosed in Note 16.

12. CONCESSION FINANCIAL ASSET

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	322,734	329,283
Financing income for the period/year	1,050	2,605
Foreign exchange loss	19,608	(9,154)
At the end of period/year	**343,392**	**322,734**
Maturity analysis of the financial asset:		
Outstanding financial asset	343,392	322,734
Less: Amount recoverable within one year	-	-
Non-current portion of financial asset	**343,392**	**322,734**
The financial asset is recoverable as analysed below:		
Within one year	-	-
Between one and two years	338,619	313,009
Between two and three years	4,773	9,725
Between three and four years	-	-
	343,392	**322,734**

The terms of the Lease and Assignment Agreement (LAA) stipulate that the Company has an unconditional right to receive from the users of the Distribution Network, through the tariff methodology, cash relating to the concession rental payments made to UEDCL.

No concession rental payments have been made to UEDCL regarding the concession obligation since the year ended 31 December 2012 and no recoveries of the same have been made during these years since ERA excluded the concession rental payments from the tariffs for the years.

UEDCL bears the risk that the cash flows generated from the users of the Distribution Network using the tariff approved by ERA will not be sufficient to recover the concession rental amounts paid by the Company to UEDCL. The Company's cash flows relating to the concession rentals paid are effectively secured, which results in a financial asset as the consideration receivable. The service concession arrangement is subject to a grantor (UEDCL) guarantee and payments made by the users are effectively regarded as cash collected on behalf of the grantor and this gives rise to a financial asset for the commitment made by the grantor.

No amount receivable within one year has been presented since the debt service component was not included in the approved base tariffs for the subsequent year.

Refer to Note 17 for further disclosures.

13. CONTRACT ASSETS

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
(a) Amounts recoverable from customer capital contributions		
At 1 January	8,192	7,104
Additions to customer funded installations	26,001	49,431
Amounts billed to customers	(18,561)	(48,131)
Translation difference	608	(212)
At end of period/year	**16,240**	**8,192**
b) ECP amounts recoverable from REP		
At 1 January	31,184	84,329
Costs incurred during the period/year	-	1,757
Less: Billed during the period/year	-	(50,204)
Excess costs above standard billing rates	-	(3,011)
Translation differences	1,863	(1,687)
At end of period/year	**33,047**	**31,184**
	(843)	(820)
	32,204	**30,364**
Total contract assets	**48,444**	**38,556**

Amounts recoverable from customer capital contributions relate to the costs incurred by the Company on commercial schemes more than the capital contributions made by the customers. The Company has contractual and legal rights to recover the excess costs from the customers.

The ECP amounts not yet verified relate to costs incurred by the Company on no pole and one pole connections for which verification by the IVA had not been completed by period-end. The amount relates to costs incurred on connections not completed or connections pending verification and clearance by the IVA. After verification and clearance by the IVA, the amounts are billed to and reimbursed by REP. The ECP project commenced in November 2018. The project was suspended from 29th July 2020 because of a realignment of priorities and financial resources by the government, in part brought about by the unexpected COVID-19 pandemic. Effective from 9th December 2020, the ECP project was amended by ERA to allow willing and able customers to pay for the connections

14. TRADE AND OTHER RECEIVABLES

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Trade receivables	236,882	230,786
Less: Expected credit losses	(35,355)	(32,867)
Net trade receivables	**201,527**	**197,919**
Other receivables	6,968	3,500
Ministry of Energy - Peri Urban Development Project	2,439	2,300
REP – ECP receivables	30,093	33,651
Customs tax advance	2,131	2,009
Less: Allowance for expected credit losses	(1,016)	(958)
	40,615	**40,502**
Trade and other receivables	**242,142**	**238,421**

Other receivables comprise staff salary advances and work accountable advances.

Trade receivables are non-interest bearing and are generally on 14-30 days' terms.

14. TRADE AND OTHER RECEIVABLES (Continued)

The carrying amount of trade and other receivables approximates the fair values due to the short-term nature of the financial assets.

The movement in expected credit losses was as shown below:

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	32,867	45,072
Allowance for ECLs for the period/year	475	-
Reclassification of ECLs relating to other receivables	-	(1,685)
Less: Bad debts written off	-	(9,304)
Translation differences	2,013	(1,216)
At end of period/year	**35,355**	**32,867**

Bad debts are written off after the Company's debt collectors have performed the debt collection procedures and processes as agreed upon with URA and certifying that the chances of recovering the debts are remote. As at period/year-end, the ageing analysis of trade receivables was as follows:

Period/year-end	Total	<30 days	30-60 days	>60 days	>90 days (default)
	Ushs million	Ushs million	Ushs million	Ushs million	Ushs million
30 June 2022	236,882	111,706	23,731	66,090	35,355
31 December 2021	230,786	114,814	23,930	59,175	32,867

15. BANK BALANCES

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Bank balances	**73,078**	**50,236**

The Company holds no collateral in respect to the bank balances. Bank balances are short-term deposits made for varying periods depending on the cash requirements of the Company and earn interest at the applicable market deposit rates.

16. BORROWINGS

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Long term facilities- Facilities A and B	139,799	175,790
Long term facilities- Facilities C and D	131,735	165,621
Less: Deferred transactions costs	(3,456)	(4,806)
	268,078	**336,605**
Less: Current portion		
Facilities A and B	(107,358)	(87,955)
Facilities C and D	(101,086)	(82,819)
Amounts due within one year	**(208,444)**	**(170,774)**
Amounts due after more than one year	**59,634**	**165,831**

16. BORROWINGS (Continued)

(a) Amounts due to lenders

Term loans	Unaudited 30 June 2022 Ushs million			Audited 31 December 2021 Ushs million		
	Facility A	Facility B	Total	Facility A	Facility B	Total
At 1 January	85,063	90,727	175,790	131,313	139,947	271,260
Interest charge	2,320	2,475	4,795	6,259	6,672	12,931
Foreign exchange gains	5,212	5,558	10,770	(3,670)	(3,913)	(7,583)
Less: Principal repayment	(22,551)	(23,996)	(46,547)	(42,649)	(45,381)	(88,030)
Less: Interest payment	(2,424)	(2,585)	(5,009)	(6,190)	(6,598)	(12,788)
At period/year end	**67,620**	**72,179**	**139,799**	**85,063**	**90,727**	**175,790**
The amounts due are made up as follows:						
Principal due after one year	15,607	16,834	32,441	42,450	45,385	87,835
Principal due in one year	52,013	55,345	107,358	42,613	45,342	87,955
	67,620	**72,179**	**139,799**	**85,063**	**90,727**	**175,790**

	Unaudited 30 June 2022 Ushs million			Audited 31 December 2021 Ushs million		
	Facility C	Facility D	Total	Facility C	Facility D	Total
At 1 January	89,911	75,710	165,621	138,716	116,814	255,530
Interest charge	2,453	2,065	4,518	6,611	5,569	12,180
Foreign exchange gains	5,510	4,641	10,151	(3,871)	(3,267)	(7,138)
Less: Principal repayment	(23,797)	(20,040)	(43,837)	(45,005)	(37,899)	(82,904)
Less: Interest payment	(2,561)	(2,157)	(4,718)	(6,540)	(5,507)	(12,047)
At period end	**71,516**	**60,219**	**131,735**	**89,911**	**75,710**	**165,621**
The amounts due are made up as follows:						
Principal due after one year	16,642	14,007	30,649	44,952	37,850	82,802
Principal due in one year	54,874	46,212	101,086	44,959	37,860	82,819
	71,516	**60,219**	**131,735**	**89,911**	**75,710**	**165,621**

16. BORROWINGS (Continued)

b) Deferred transaction costs

Term loans	Unaudited 30 June 2022 Ushs million			Audited 31 December 2021 Ushs million		
	Facility A	Facility B	Total	Facility A	Facility B	Total
At 1 January	717	1,033	1,750	1,300	1,851	3,151
Management, security, and agency fees	66	66	132	-	-	-
Amortisation for the period/year	(201)	(284)	(485)	(553)	(776)	(1,329)
Foreign exchange losses	35	51	86	(30)	(42)	(72)
At period/year end	**617**	**866**	**1,483**	**717**	**1,033**	**1,750**

	Unaudited 30 June 2022 Ushs million			Audited 31 December 2021 Ushs million		
	Facility C	Facility D	Total	Facility C	Facility D	Total
At 1 January	1,778	1,278	3,056	3,658	2,877	6,535
Management, security, and agency fees	-	-	-	-	-	-
Amortisation for the period/year	(654)	(559)	(1,213)	(1,799)	(1,538)	(3,337)
Foreign exchange losses	77	53	130	(81)	(61)	(142)
At period/year end	**1,201**	**772**	**1,973**	**1,778**	**1,278**	**3,056**

Term and revolving credit facility agreement

The Company has Term and Revolving Credit Facilities Agreement (the “facilities agreement”) with International Finance Corporation (IFC), Standard Chartered Bank (SCB) and Stanbic Bank Uganda Limited (SBU) as the mandated lead arrangers. Standard Chartered Bank is the overdraft issuer, security agent and the facility agent.

A total amount of USD 235 million was initially committed in 2013. USD 90 million is designated as term Facility A provided by IFC and USD 125 million as term Facility B provided by SBU and SCB. USD 15 million and USD 5 million were designated as revolving credit facilities with Standard Chartered Bank and Stanbic Bank Uganda Limited, respectively.

16. BORROWINGS (Continued)

On 9 December 2019, the facilities agreement was restated and amended as follows:

- By committing the following additional term facilities and extending the revolving credit facilities for financing working capital and capital expenditure:

	USD
Term facilities	
IFC - Facility C "A"	28,000,000
IFC - Facility C "B1"	10,000,000
Standard Chartered Bank – Facility D	16,000,000
Stanbic Bank – Facility D	16,000,000
	70,000,000
Revolving credit facilities	
Standard Chartered Bank	15,000,000
Stanbic Bank	5,000,000
	20,000,000
Total amount committed by the lenders	**90,000,000**

If Umeme procured the renewal of the Concession in accordance with the amended and restated borrowing agreement by the Concession Renewal Longstop Date, Umeme shall repay the aggregate Facility C and Facility D loans in semi-annual, that is, on 30 June and 31 December, instalments of 12.5% of the drawn down amount, starting 30 June 2021.

The Company had not procured the renewal of the Concession in accordance with the amended and restated borrowing agreement by the Concession Renewal Longstop Date, Umeme therefore shall repay the aggregate Facility C and Facility D loans in semi-annual, that is, on 30 June and 31 December, instalments of 16.67% of the drawn down amount, starting 30 June 2021, but with the last instalment being 16.65%. As the Concession Renewal Longstop Date was not procured by year-end, these repayment terms will continue to be applicable after the reporting period, unless if otherwise amended.

Modifying the repayment terms for the outstanding Facility A amounts to semi-annual, that is, on 30 June and 31 December, repayments of 6.67% of the drawn down amount but with the final instalment being 6.62%. Before the amendment of the borrowing agreement, Facility A was repayable in 15 semi-annual instalments of 6.7% of the total facility drawn down at the end of the availability period and 6.62% on the termination date (November 2023).

Modifying the repayment terms for the outstanding Facility B amounts to semi-annual repayments of 5.11% of the drawn down amount on 30 June and 31 December but with the final instalment being 5.12%. Before the amendment of the borrowing agreement, Facility B was repayable in 9 semi-annual instalments of 9% of the total facility drawn down at the end of the availability period and 28% on the termination date (November 2020).

16. BORROWINGS (Continued)

Term and revolving credit facility agreement (Continued)

These terms include Umeme acknowledging that it may not declare, make, or pay any dividend, charge, fee or other distribution unless it has:

- Demonstrated that the Capex Funding Ratio is equal to, or is greater than, 2.0:1, that is, USD 140 million;
- The Debt Service Accrual Account (DSAA), into which semi-annual interest expense and amortised principal repayment must be deposited before the next interest payment date, has been funded in accordance the Facilities Agreement prior to declaration of dividends.
- Satisfied other relevant provision of the Facilities Agreement.

The Company opened the DSAA on 6 December 2021 and it was funded prior to declaration of the 2021 Dividend in March 2022. The Capex Funding Ratio as of 2021 was 2.12:1. Going forward, the Company would need to fund the DSAA as required and satisfy other relevant provisions in the Facility Agreement before declaring any dividend. Otherwise, the Company would have to get the lenders to waive these terms and conditions before declaring a dividend.

Facilities A, B, C and D attract interest at LIBOR (applicable screen rate) plus a margin of 5% per annum. The revolving credit facilities other than those denominated in Ushs attract interest at LIBOR plus 7.8% per annum while the interest for those denominated in Ushs is the Uganda Government 182 days treasury bill rate plus 5.2% per annum. The Company's management will engage the lenders to agree the basis for the interest rates if and when LIBOR is discontinued. No significant changes in the Company's cost of borrowing are expected to arise from this.

The following were the applicable annual interest rates:

	2022	2021
Long term facilities		
Facility A	5.35%	5.21%
Facility B	5.35%	5.21%
Facility C	5.35%	5.21%
Facility D - Standard Chartered Bank	5.35%	5.21%
Facility D - Stanbic Bank	5.35%	5.21%
Revolving credit facilities		
Ushs	13.90%	14.77%
USD	8.59%	7.95%

The term and revolving credit facilities are secured against a first ranking fixed charge on all the Company's rights, title and interest from time to time and all related rights; and all contracts of insurance in respect of the Mandatory Insurances in which the Company has an interest and all moneys from time to time payable thereunder, and related rights.

16. BORROWINGS (Continued)

Term and revolving credit facility agreement (Continued)

The movement in the long-term facilities in USD was as follows:

	Unaudited 30 June 2022 USD'000			Audited 31 December 2021 USD'000		
	Facility A	Facility B	Total	Facility A	Facility B	Total
At 1 January	23,966	25,562	49,528	35,972	38,337	74,309
Interest accrued	645	688	1,333	1,742	1,857	3,599
Principal repayments	(6,003)	(6,388)	(12,391)	(12,006)	(12,775)	(24,781)
Interest repayments	(645)	(688)	(1,333)	(1,742)	(1,857)	(3,599)
At period/year end	**17,963**	**19,174**	**37,137**	**23,966**	**25,562**	**49,528**

	Unaudited 30 June 2022 USD'000			Audited 31 December 2021 USD'000		
	Facility C	Facility D	Total	Facility C	Facility D	Total
At 1 January	25,332	21,331	46,663	38,000	32,000	70,000
Interest accrued	682	574	1,256	1,841	1,550	3,391
Principal repayments	(6,334)	(5,334)	(11,668)	(12,668)	(10,669)	(23,337)
Interest repayments	(682)	(574)	(1,256)	(1,841)	(1,550)	(3,391)
At period/year end	**18,998**	**15,997**	**34,995**	**25,332**	**21,331**	**46,663**

As at period/year-end, the Company was compliant with the five ratios and covenants specified in the facilities agreement.

Other permitted financial indebtedness – dfcu Bank Limited and Stanbic Bank Uganda Limited

The Company held overdraft facilities with SBU of USD 15 million as per the provisions in the facilities agreement on permitted financial indebtedness.

The SBU facility attracts interest at the 182 Treasury Bill rate plus a margin of 3.5% per annum for amounts drawn in Ushs or the 3 months LIBOR plus a margin of 3.5% for amounts drawn down in USD. The applicable interest rate for the Stanbic Bank Uganda Limited Ushs facilities was 12.03% (2021: 13.70%) and for the USD facilities was 3.893% (2021: 3.657%).

The overdraft facilities are secured against a second ranking fixed charge on all the Company's rights, title and interest from time to time and all related rights; and all contracts of insurance in respect of the Mandatory Insurances in which the Company has an interest and all moneys from time to time payable thereunder, and related rights.

The following were the undrawn approved borrowing facilities as at period-end:

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Revolving credit facilities		
Standard Chartered Bank Uganda Limited	53,386	53,240
Stanbic Bank Uganda Limited	18,739	21,562
Total approved undrawn facilities	**72,125**	**74,802**

17. CONCESSION FINANCIAL OBLIGATION

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	322,734	329,283
Financing expense for the period/year	1,050	2,605
Foreign exchange gains	19,608	(9,154)
At period/year end	**343,392**	**322,734**
Maturity analysis of the concession obligation:		
Outstanding concession obligation	343,392	322,734
Less: Amount payable within one year	-	-
Non-current portion of concession obligation	**343,392**	**322,734**
The concession obligation is payable as analysed below:		
Within one year	-	-
Between one and two years	338,619	313,009
Between two and three years	4,773	9,725
Between three and four years	-	-
	343,392	**322,734**

On 1 March 2005, the Company took over the operation of the electricity power distribution network that was being operated by UEDCL under a 20-year concession arrangement.

The present value of the obligation arising from the rental payments under the concession agreements at the commencement of the concession was estimated to be USD 133 million (Ushs 473 billion at the current period end foreign exchange rate) using a discount rate of 8.911%. Interest is accrued annually to determine the amortised cost amount of the concession obligation as at period/year-end. The corresponding amount is recognised as a financial asset as disclosed in Note 12.

18. CONTRACT LIABILITIES

		Unaudited 30 June 2022	Audited 31 December 2021
Deferred revenue on prepaid sales	(a)	4,551	11,279
Deferred construction income	(b)	7,423	3,741
Deferred capital fund – Growth Factor Revenues	(c)	-	-
Deferred capital fund – Non-network assets	(d)	-	1,771
Deferred capital fund – LED bulbs	(e)	-	-
Deferred capital fund – Skills Development	(f)	154	146
Deferred capital fund – Customer Rebates and Meter Testing	(g)	10,676	10,066
Advance payments by energy customers	(h)	51,309	27,085
ADB Funding	(i)	9,321	2,563
		83,434	**56,651**

18. CONTRACT LIABILITIES (Continued)

(a) Deferred revenue on prepaid sales

Prepaid sales relate to sales to Government of Uganda Time of Use (GOU-TOU) arrangement and domestic customers through prepaid metering systems. The units paid for but not consumed by period end are determined basing on the customers' consumption patterns.

As at 30 June 2022, Ushs 3,634 million (2021: Ushs 7,042 million) sales to GOU-TOU had not been consumed while it was estimated that 8.0% of the pre-paid electricity tokens purchased by domestic customers had not been consumed (2021: 8.2%).

	Unaudited 30 June 2022			Audited 31 December 2021		
	GOU - TOU Ushs million	Domestic customers Ushs million	Total Ushs million	GOU – TOU Ushs million	Domestic customers Ushs million	Total Ushs million
At 1 January	7,042	4,237	11,279	5,366	1,526	6,892
Payments received	19,617	249,062	268,679	44,424	466,326	510,750
Amortised to revenue	(25,948)	(249,735)	(275,683)	(42,574)	(463,553)	(506,127)
Translation differences	117	159	276	(174)	(62)	(236)
At period/year end	**828**	**3,723**	**4,551**	**7,042**	**4,237**	**11,279**

The performance obligations relating to these contract liabilities are expected to be fulfilled in the subsequent reporting period.

(b) Deferred construction income

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	3,741	4,986
Amount received	22,059	45,259
Amount utilized	(18,532)	(46,569)
Translation differences	155	65
Unutilized customer contributions at period/year end	**7,423**	**3,741**

Deferred construction income relates to capital contributions from customers for new electricity service connections that are not yet utilised on asset construction works. The amounts paid by the customers for the construction expenses (''non-refundable capital contributions'' or ''NRCC'') are recognised as construction revenue when utilized.

18. CONTRACT LIABILITIES (Continued)

(c) Deferred capital fund – Growth Factor Revenues

	Unaudited 30 June 2022 Ushs million	**Audited 31 December 2021 Ushs million**
At 1 January	-	108,334
Amount collected during the period/year	-	-
Amount utilised to offset revenue shortfall during the period/year	-	(104,386)
Amount utilised	-	(1,866)
Translation differences	-	(2,082)
At period/year end	**-**	**-**

As disclosed in Note 3(a), the amount as at period-end relates to the amount billed to and collected from customers for utilisation as approved by ERA, e.g., for funding construction of additions to the Distribution Network or tariff adjustment. The performance obligations will be fulfilled when ERA approves the utilisation of the amounts.

(d) Deferred capital fund – Non-network assets

	Unaudited 30 June 2022 Ushs million	**Audited 31 December 2021 Ushs million**
At 1 January	1,771	1,482
Amount collected during the period/year	3,471	9,548
Regulatory claw-back	-	(16,288)
Reversal of utilised amounts	-	16,288
Amount utilised for purchasing non-network assets	(7,266)	(9,299)
Translation differences	(69)	40
At period/year end	**(2,093)**	**1,771**
Company funds used	2,093	-
Contract liabilities at period/year end	**-**	**1,771**

This relates to the amount billed and collected from customers for funding non-network assets but not yet utilised at period/year-end.

During the period, the Company acquired non-network assets worth Ushs 2,093 million over and above the funds available for the purpose. This amount was recognised, under other receivables, as recoverable from the amounts to be billed to and recovered from customers in subsequent periods.

(e) Deferred capital fund – LED bulbs

This relates to the amounts collected from customers to improve efficiency of the demand side energy using LED bulbs but not yet utilised.

	Unaudited 30 June 2022 Ushs million	**Audited 31 December 2021 Ushs million**
At 1 January	-	336
Amount utilised	-	(326)
Translation differences	-	(10)
At period/year end	**-**	**-**

18. CONTRACT LIABILITIES (Continued)

(f) Skills Development Program

This relates to funds received for the Skills Development Program within the Electricity Sector.

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	146	150
Translation differences	8	(4)
At period/year end	**154**	**146**

(g) Customer rebates and meter testing

This relates to the amounts collected from customers for use under the industrial rebates policy and meter testing.

	Unaudited 30 June 2022			Audited 31 December 2021		
	Customer rebates Ushs million	Meter testing Ushs million	Total Ushs million	Customer rebates Ushs million	Meter testing Ushs million	Total Ushs million
At 1 January	9,866	200	10,066	10,148	205	10,353
Translation differences	598	12	610	(282)	(5)	(287)
At period/year end	**10,464**	**212**	**10,676**	**9,866**	**200**	**10,066**

(h) Advance payments by energy customers

This relates to payments received from post-paid customers in advance of consuming the electricity paid for.

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	27,085	7,334
Amounts received	40,000	66,288
Amortised to revenue	(15,854)	(45,506)
Translation differences	78	(1,031)
At period/year end	**51,309**	**27,085**

(i) ADB Funding

This relates to materials supplied by ADB to facilitate no-pole connections.

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
At 1 January	2,563	-
Amount received	6,257	19,248
Amortised to revenue	-	(16,240)
Translation difference	501	(445)
At 31 December	**9,321**	**2,563**

19. TRADE AND OTHER PAYABLES

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Trade payables	552,772	493,214
Other payables	100,837	42,677
Withholding tax payable	211	543
VAT payable	9,083	6,186
	662,903	**542,620**

Trade and other payables are non-interest bearing and normally settled on 30-60 days' terms. Trade payables include Ushs 497,540 million (2021: Ushs 428,013 million) due to UETCL. The balance of Ushs 55,232 million (2021: Ushs 65,201 million) is due to contractors and other service providers.

Other payables include an employee performance bonus accrual of Ushs 3,453 million (2021: Ushs 15,463 million). Ushs 15,429 million was paid during the year (2021: Ushs 7,220 million).

20. BANK OVERDRAFTS

	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Standard Chartered Bank (SCB)	52,442	45,690
Stanbic Bank Uganda Limited (SBU)	36,010	49,424
Less: Deferred transactions costs	-	-
	88,452	**95,114**
Deferred transaction costs		
At 1 January	-	120
Amortisation for the period/year	-	(120)
At period/year end	**-**	**-**

As at period-end, the Company had drawn down USD 23 million (2021: USD 27 million) from Standard Chartered Bank and Stanbic Bank under the revolving credit facilities and permitted indebtedness as disclosed in Note 16.

21. DISTRIBUTIONS TO SHAREHOLDERS MADE AND PROPOSED

	Unaudited 30 June 2022		Audited 31 December 2021	
	Dividend per share Ushs	Total Ushs million	Dividend per share Ushs	Total Ushs million
Dividend paid				
Final dividend paid	-	-	12.2	19,811
	-	**-**	**12.2**	**19,811**
Dividend proposed				
Final dividend	-	-	54.1	87,814
	-	**-**	**54.1**	**87,814**

The Company is required to withhold tax on the dividend payments in accordance with the tax laws of Uganda and remit the amounts withheld to Uganda Revenue Authority.

22. CASH AND CASH EQUIVALENTS

	Unaudited 30 June 2022 Ushs million	Unaudited 30 June 2021 Ushs million
Bank balances	73,078	43,867
Bank overdrafts	(88,452)	(71,972)
Bank balances not available for use	(11)	(484)
	(15,385)	**(28,589)**

ERA issued guidelines that require the Company to ring-fence and invest the cash held in respect to customer security deposits from any other funds of the Company. The guidelines were effective from 1 January 2011. Consequently, bank balances representing the carrying amount of the customer security deposits are not available for use in the Company's operations.

23. LETTERS OF CREDIT

As at period-end, the Company had letters of credit facilities with Standard Chartered Bank Uganda Limited (the ''bank''). The letters of credit facilitate the purchase and importation of equipment and inventories for the repair, upgrading and expansion of the Distribution Network and related electricity distribution accessories. The Company may be required to deposit amounts with the bank to act as collateral for the active letters of credit to facilitate the purchase and importation of partially delivered goods. There are no balances deposited as cash cover under the letters of credit facilities as at period-end (31 December 2021: Nil).

As at period-end, the Company also had letters of credit with the bank amounting to Ushs 3,244 million (31 December 2021: Ushs 3,961 million) with no cash cover. These are covered by the goods under importation and insurance.

24. FINANCIAL INSTRUMENTS

The Company's financial instruments are categorised as follows:

Financial assets	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Debt instruments at amortised cost		
Buy out amount	1,206,479	1,088,155
Concession financial asset	343,392	322,734
Non-current	**1,549,871**	**1,410,889**
Trade and other receivables	240,011	236,412
Bank balances	73,078	50,236
Current	**313,089**	**286,648**
Total financial assets	**1,862,960**	**1,697,537**

Financial liabilities / **Financial liabilities at amortised cost**	Unaudited 30 June 2022 Ushs million	Audited 31 December 2021 Ushs million
Borrowings	268,078	336,605
Concession obligation	343,392	322,734
Customer security deposits	11	7
Accrued expenses	14,836	22,645
Trade and other payables	650,213	519,615
Bank overdrafts	88,452	95,114
	1,364,982	**1,296,720**
Current	961,956	808,155
Non-current	403,026	488,565
	1,364,982	**1,296,720**

25. SHAREHOLDING

a) Shareholding

	Name	30 June 2022 Number of shares	30 June 2022 Percentage shareholding	31 December 2021 Number of shares	31 December 2021 Percentage shareholding
1	National Social Security Fund Uganda	378,933,288	23.34%	378,933,288	23.34%
2	Allan Gray	240,654,523	14.82%	240,654,523	14.82%
3	Kimberlite Frontier Africa Master Fund	144,564,483	8.90%	144,564,483	8.90%
4	Utilico Emerging Markets Limited	135,900,000	8.37%	135,900,000	8.37%
5	Coronation Global Opportunities Fund	114,657,071	7.06%	114,157,171	7.03%
6	IML LAU	72,834,432	4.49%	85,691,227	5.28%
7	International Finance Corporation	45,220,900	2.78%	45,220,900	2.78%
8	Kilimanjaro Frontier Africa Fund	42,300,000	2.60%	16,000,000	0.99%
9	Duet Fund	35,908,824	2.21%	39,796,024	2.45%
10	Conrad Hilton Foundation	31,327,420	1.93%	31,327,420	1.93%
11	Others	381,577,064	23.50%	391,632,969	24.11%
		1,623,878,005	**100.00%**	**1,623,878,005**	**100.00%**

b) Spread of issued shares as at 30 June 2022

Shareholding (number of shares)	Number of shareholders	Number of shares held	Percentage shareholding
Less than 500 shares	923	183,831	0.01%
500 - 5,000 shares	3,111	5,746,515	0.35%
5,001 – 10,000 shares	616	4,789,113	0.29%
10,001 – 100,000 shares	1,086	32,359,533	1.99%
100,001 - 1,000,000 shares	311	95,148,276	5.86%
Above 1,000,000 shares	79	1,485,650,737	91.50%
	6,126	**1,623,878,005**	**100.00%**

26. EARNINGS BEFORE INTEREST, TAXATION, DEPRECIATION AND AMORTISATION (EBITDA)

The Company uses EBITDA as one of its alternative performance measures. For this purpose, EBITDA is determined as operating profit before amortisation, impairment of intangible assets, interest and tax as adjusted to exclude foreign exchange losses.

	Unaudited 30 June 2022 Ushs million	Unaudited 30 June 2022 USD'000	Unaudited 30 June 2021 Ushs million	Unaudited 30 June 2021 USD'000
Operating profit before amortisation	178,456	53,555	160,448	42,860
Foreign exchange losses	(15,612)	(8,284)	13,295	5,007
EBITDA	**162,844**	**45,271**	**173,743**	**47,867**

27. CONTINGENT LIABILITIES

a) Legal claims

The Company is a defendant in various legal actions arising in the normal course of business. The Company has been advised by its external Legal Counsels that it is only possible but not probable that cases with claims amounting to Ushs 3.6 billion (2021: Ushs 3.2 billion) could be decided against the Company. Accordingly, no provision for liabilities relating to these cases has been made in these financial statements. The Company continues to defend itself against these actions and therefore it is not practical to reasonably determine the timing of the contingent liabilities.

27. CONTINGENT LIABILITIES (Continued)

b) Tax disputes

Tax treatment of the Company's investments in the Distribution Network
Uganda Revenue Authority (URA) conducted a tax audit during 2018. URA noted that all investments in the Distribution Network (concession assets) accounted for under concession accounting (IFRIC 12) for the purpose of the statutory financial statements prepared in accordance with IFRS should have been treated as intangible assets on adoption of IFRIC 12 in 2008 for purposes of determining taxable income, and that the Company is not entitled to tax depreciation allowances computed on the basis that the assets are tangible assets for income tax purposes. URA did not issue a tax assessment with respect to this matter as the Company had sought Court interpretation on the same. URA, however, issued a specific assessment indicating that for the years 2013 to 2016, the Company underpaid income tax because of utilisation of tax losses carried forward and utilisation of tax credits on the basis of the Company's tax treatment of the assets as tangible assets for which tax depreciation allowances should be considered when determining taxable income. The assessed amount was Ushs 9.2 billion and Ushs 4.2 billion as principal tax, interest and penalties arising from carrying forward tax losses and utilisation of tax credits, respectively.

In 2020, the Tax Tribunal ruled in favour of the Company and the High court subsequently dismissed an appeal filed by UEDCL in 2022 disputing the ruling of the tribunal.

Interest and penalties relating to the 2016 restatement of revenue
URA issued an assessment on the basis that the restatement of the Company's 2016 financial statements to correct the lifeline surcharge revenue meant that income tax had been understated in the respective year by Ushs 9.48 billion. Consequently, the Company was liable to late payment interest and penalties amounting to Ushs 2 billion and Ushs 1.2 billion, respectively.

The Company accrued for the assessed principal tax in the 2016 restated financial statements and paid the amount to URA in 2018. The Company disputes and has objected to the interest and penalties on the following basis:

- Although the under provision of the lifeline surcharge revenue resulted in a restatement of the Company's 2016 financial statements as the Company was deemed entitled to the income for financial reporting purposes, the income relating to this under provision was not taxable in 2016 as at this time, the under recovery was not known to both the Company and ERA. The income became taxable when ERA included the amounts in the 2018 tariff for the Company to bill and collect. This is based on interpretation of Section 42 of the ITA as elaborated below.

  For income tax purposes, Section 42(2) of the ITA provides that:

  "42. Accrual-Basis Taxpayer:

  1. A taxpayer who is accounting for tax purposes on an accrual basis –

    a) derives income when it is receivable by the taxpayer; and
    b) incurs expenditure when it is payable by the taxpayer.

  2. Subject to the ITA, an amount is receivable by a taxpayer when the taxpayer becomes entitled to receive it, even if the time for discharge of the entitlement is postponed or the entitlement is payable by instalments."

The directors believe, basing on consultation with the Company's tax consultants and legal counsel, that there is a reasonably good chance that this matter will be determined in the Company's favour.

27. CONTINGENT LIABILITIES (CONTINUED)

Unpaid taxes on imports of boxed meter solutions

URA issued an assessment disputing the basis of the Company's declaration of meter boxed solution consignments under HS Code 9028.38.00 which specifically relates to electricity meters attracting an import duty of 0%. The Authority proposed reclassification to HS Code 8537.10.00 which relates to electricity control and distribution equipment of less than 1000 volts with an import duty rate of 10%.

The resultant assessment following the reclassification gave rise to a tax liability of Ush 6.8 billion as additional duty payable on the assessed consignments. The Company disputes and has objected to the additional duties on the following basis;

1. A single-phase meter boxed solution is not an instrument used in control and distribution of electricity. The primary function of a single phased meter solution is to measure electricity consumption to the customer.
2. Similarly, the components of a single phased meter solution enable the electricity meter to perform its functions of measuring the electricity consumption of a customer.
3. Following the guidance under general rule 3, the description of items covered under HS Code 8537.10 is not the most specific description that applies to the single phased meter boxed solution.
4. The Company classified these electricity meters under HS Code 9028.38.00 which specifically lists "electricity meters" among items covered by the HS code thus maintaining their essential character of metering as opposed to the non-specific reclassification as electricity control and distribution equipment under HS Code 8537.10.00.

The directors believe, basing on consultation with the Company's tax consultants and legal counsel, that there is a reasonably good chance that this matter will be determined in the Company's favour.

28. RELATED PARTY DISCLOSURES

Directors' interests

Some directors held, directly, an interest in the Company's ordinary issued share capital as indicated in the table below:

Director	Number of shares	% of shareholding	Number of shares	% of shareholding
	Unaudited		Audited	
	30 June 20		31 December 2021	
Selestino Babungi	4,100,000	0.25%	3,900,000	0.24%
Patrick Bitature	2,011,100	0.12%	2,011,100	0.12%
Florence N. Nsubuga	1,260,000	0.08%	1,260,000	0.08%
Ridolfi Riccardo	962,700	0.06%	-	0.00%
Hon. Gerald Ssendaula	586,800	0.04%	586,800	0.04%

Compensation for key management personnel

	Unaudited	Unaudited
	6 months ended	
	30 June 2022 Ushs million	30 June 2021 Ushs million
Directors' emoluments and expenses	1,550	1,379
Contributions to NSSF	611	387
Short term employee benefits	3,481	3,457
Long term incentive benefits and other bonuses	4,239	1,371

The amounts disclosed in the table are the amounts recognised as an expense during the reporting period related to key management personnel. The non-executive directors do not receive pension entitlements from the Company.

29. CAPITAL COMMITMENTS

As at period-end, the Company had capital commitments of Ushs 92,905 million (30 June 2021: Ushs 48,914 million) relating to upgrading and expansion of the distribution network.

30. FAIR VALUE MEASUREMENT

The Company has no assets and liabilities for which the carrying amount is based on fair value. For fair value disclosure purposes, management has evaluated that, except for the assets and liabilities presented in the table below, the fair values of the Company's financial assets and liabilities reasonably approximate their carrying amounts due to the short-term maturities of the financial instruments or because the interest rates applicable to long-term financial instruments approximate the prevailing market interest rates.

	Unaudited 30 June 2022		Audited 31 December 2021	
	Carrying amount Ushs million	Fair value Ushs million	Carrying amount Ushs million	Fair value Ushs million
Other financial asset: Buy out	1,206,479	1,543,208	1,088,155	1,585,586
Concession financial asset	343,392	345,237	322,734	325,131
Concession financial obligation	343,392	345,237	322,734	325,131

The fair value of the above instruments is determined using the discounting of cash flows method by applying discount rates that reflect directly or indirectly observable market interest rates for similar instruments. The instruments are therefore categorised under Level 2 of the fair value measurement hierarchy. There were no transfers into and out of this fair value measurement hierarchy.

The own non-performance risk regarding the financial liabilities was assessed to be insignificant.

The significant inputs used in the fair value measurements together with a quantitative sensitivity analysis are shown below:

Item	Inputs	Inputs applied		Sensitivity of input to fair value		
		2022	2021	Change in input	2022	2021
					Ushs million	
Other financial asset	USD equivalent market yield on GOU treasury bonds with similar term	9.46%	7.48%	+-0.1%	3,929	3,933
Concession financial asset	Market interest rate for term loans with similar term	5.90%	5.16%	+-0.1%	12	23
Concession obligation		5.90%	5.16%	+-0.1%	12	23

31. COVID-19 PANDEMIC

The World Health Organisation (WHO) declared COVID-19 a pandemic in 2020. On 18 March 2020, the Government of Uganda announced lockdown and restrictions as a countermeasure against the spreading of Covid-19. By period-end, another lockdown had been instituted on 18 June 2021 to curb the second wave of the surge of infections and related deaths. As the Company is an essential service provider, operations continued during the lock down period but with some the general restrictions arising from the local and global disruptions caused by the pandemic. These include market, services and supply chain disruptions, non-performance by counter parties, unavailability of key people resources, inability to access some locations, among others. Consequently, the Company's financial performance was impacted in the month of June as noted below:

31. COVID-19 PANDEMIC (CONTINUED)

- Limitations in implementing the power loss reduction activities due to limitations on movements. Despite efforts to curb the loss trajectory to 16%, power losses stood at 17.2% as at June 2022.

- Increase in expenses resulting from the additional costs arising from operating under lock down and other restrictions, and staff and customer safety measures.

- Delay in implementing the capital expenditure and network maintenance programs due to supply chain disruptions.

The COVID-19 pandemic continued to affect the Company, the Country, and businesses at the time of issuing these interim condensed financial statements. The directors expect that considering that the Company is an essential service provider, the Company's operations will continue despite the disruption caused by the pandemic. The directors have also assessed that:

- No adjusting events or conditions existed at the time of issuing the interim condensed financial statements.

- The going concern status of the Company will not be affected by this event and the Company will continue to operate as a going concern. The Company's management and directors are closely monitoring the economic developments in the key markets and sectors including undertaking scenario analysis. This enables the Company's management and directors to take appropriate actions where necessary, including enhanced monitoring, amending the Company's risk appetite and/or reducing limits and exposures.

- The impact of the supply chain disruptions will be mitigated by proactive and dynamic inventory management to ensure that there is enough stock of materials to support the capital expenditure and network maintenance programs.

- Customer credit risk is not expected to increase further. Management will continue to closely monitor customer segments to ensure that exposures are mitigated.

- There are no conditions that would warrant impairment of non-financial assets. There are no significant financial assets measured at fair values that would materially impact the performance of the Company.

It is reasonably possible, based on existing knowledge, that outcomes within the next financial period that are different from the judgements and assumptions used, could require a material adjustment to the carrying amounts of the assets or liabilities reported in these interim condensed financial statements. The directors and management will continue to monitor the measures taken by the Government of Uganda and adjust the Company's business strategies and plans accordingly.

32. EVENTS AFTER THE REPORTING PERIOD

Refer to Note 31 regarding the Covid-19 pandemic.

There are no other events after the reporting period which require adjustment to or disclosure in these interim condensed financial statements.

MEMORANDUM FINANCIAL INFORMATION IN US DOLLARS

The directors determined that the Company's functional currency is USD effective from 1 January 2015. The statutory financial statements are presented in Ushs to meet the expectations of the key users of the financial statements. However, to meet the needs of certain users of the financial statements, memorandum financial information in USD is presented. The memorandum financial information comprises the statement of profit or loss, statement of financial position, statement of changes in equity and statement of cash flows.

BASIS OF TRANSLATION

The translation from foreign currencies to functional currency is done in accordance with the Company's accounting policy as disclosed in Note 2 (b) to the latest audited financial statements. The foreign exchange rates applied were as follows:

	30 June 2022	**30 June 2021**	**31 December 2021**
Average rate	3,597	3,650	3,561
Period-end rate	3,764	3,559	3,549
Source: Bank of Uganda			

STATEMENT OF PROFIT OR LOSS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2022

	6 months ended 30 June 2022 USD '000	6 months ended 30 June 2021 USD '000
Revenue from contracts with customers	249,365	255,634
Cost of sales	(171,962)	(173,379)
GROSS PROFIT	**77,403**	**82,255**
Repair and maintenance expenses	(4,543)	(8,052)
Administration expenses	(27,457)	(25,872)
Foreign exchange gain/(loss)	8,284	(5,007)
Increase in expected credit losses	(132)	(464)
OPERATING PROFIT BEFORE AMORTISATION	**53,555**	**42,860**
Amortisation of intangible assets	(21,828)	(21,509)
OPERATING PROFIT	**31,727**	**21,351**
Finance income	2,910	2,708
Finance costs	(4,900)	(6,228)
PROFIT BEFORE TAX	**29,737**	**17,831**
Income tax expense	(7,896)	(5,884)
PROFIT FOR THE PERIOD	**21,841**	**11,947**
	USD	**USD**
BASIC AND DILUTED EARNINGS PER SHARE	**0.013**	**0.007**

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2022

	30 June 2022 USD '000	31 December 2021 USD '000
ASSETS		
Non-current assets		
Intangible assets	162,916	180,559
Other financial asset: Buy out amount	320,497	306,583
Concession financial asset	91,221	90,929
	574,634	**578,071**
Current assets		
Inventories	26,128	28,260
Contract assets	12,869	10,863
Current income tax recoverable	-	3,928
Trade and other receivables	64,324	67,174
Prepayments	5,228	3,970
Bank balances	19,413	14,154
	127,962	**128,349**
TOTAL ASSETS	**702,596**	**706,420**
EQUITY AND LIABILITIES		
Equity		
Issued capital	8,217	8,217
Share premium	20,815	20,815
Retained earnings	221,066	222,610
	250,098	**251,642**
Non-current liabilities		
Borrowings: Non-current portion	15,842	46,722
Concession obligation	91,221	90,929
Long term incentive plan	-	-
Deferred tax liability	63,342	66,753
	170,405	**204,404**
Current liabilities		
Borrowings: current portion	55,372	48,115
Customer security deposits	3	2
Contract liabilities	22,164	15,961
Accrued expenses	3,941	6,380
Provisions	237	237
Trade and other payables	176,098	152,881
Current income tax payable	781	-
Bank overdrafts	23,497	26,798
	282,093	**250,374**
TOTAL EQUITY AND LIABILITIES	**702,596**	**706,420**

STATEMENT OF CHANGES IN EQUITY FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2022

	Issued capital USD '000	Share premium USD '000	Retained earnings USD '000	Total equity USD'000
At 1 January 2021	**8,217**	**20,815**	**191,000**	**220,032**
Profit for the period	-	-	11,947	11,947
Other comprehensive loss, net of tax	-	-	-	-
Total other comprehensive income, net of tax			**11,947**	**11,947**
Dividend declared	-	-	(5,565)	(5,565)
At 30 June 2021	**8,217**	**20,815**	**197,382**	**226,414**
At 1 January 2022	**8,217**	**20,815**	**222,610**	**251,642**
Profit for the period	-	-	21,841	21,841
Other comprehensive loss, net of tax	-	-	-	-
Total other comprehensive income, net of tax			**21,841**	**21,841**
Dividend declared	-	-	(23,385)	(23,385)
At 30 June 2022	**8,217**	**20,815**	**221,066**	**250,098**

MEMORANDUM FINANCIAL INFORMATION IN US DOLLARS

STATEMENT OF CASH FLOWS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2022

	6 months ended 30 June 2022	6 months ended 30 June 2021
Profit before tax	29,737	17,831
Adjustment for non-cash items:		
Amortisation of intangible assets	21,802	19,750
Write off of intangible assets	26	1,759
Interest on bank deposits	(60)	(26)
Finance income on other financial asset	(2,558)	(2,296)
Finance income on concession financial asset	(292)	(386)
Finance cost on concession obligation	292	386
Other financing costs	1,555	1,109
Expected credit losses on trade and other receivables	132	464
Interest expense on long and short-term borrowings	2,589	3,814
Amortisation of deferred transaction costs on borrowings	472	892
Cash flows before working capital changes	**53,695**	**43,297**
Changes in working capital items:		
Decrease in inventories	2,132	2,306
(Increase)/decrease in contract assets	(2,006)	14,413
Decrease/(increase) in trade and other receivables	2,718	(952)
(Increase)/decrease in prepayments	(1,257)	4,591
Increase/(decrease) in contract liabilities	6,203	(10,283)
Decrease in accrued expenses	(2,439)	(1,415)
Decrease in trade and other payables	(168)	(4,324)
Cash generated from operating activities	**58,878**	**47,633**
Interest received from banks	60	26
Interest paid on long and short-term borrowings	(2,589)	(3,814)
Other financing costs paid	(1,555)	(1,109)
Borrowing transaction costs paid	(36)	-
Income tax paid	(2,655)	-
Net cash flows from operating activities	**52,103**	**42,736**
Investing activities		
Purchase of intangible assets	(15,541)	(13,676)
Net cash flows used in investing activities	**(15,541)**	**(13,676)**
Financing activities		
Repayment of principal on long term borrowing facilities	(24,059)	(24,058)
Repayment of principal on short term borrowing facilities	-	-
Net cash flows from financing activities	**(24,059)**	**(24,058)**
Net increase/(decrease) in cash and cash equivalents	12,503	**5,002**
Cash and cash equivalents at 1 January	(12,646)	(14,379)
Foreign exchange differences	(3,944)	1,344
Cash and cash equivalent 30 June	**(4,087)**	**(8,033)**